Tesla, Inc.

TSLA NASDAQ

Hold	$342.32 ▼ 11.13%	12M Price Target	52-Week Range	Market Cap
		$375.00	$297.38 – $498.83	$1.35T

TSLA: Democratic Sweep Blows Up the xAI Merger Math

WHAT HAPPENED

- TSLA dumped 11% on massive volume (60M shares vs ~40M average) after Democrats swept the midterms. The market is pricing in a much tougher regulatory path for the proposed Tesla/xAI merger — a Dem-controlled FTC and DOJ means antitrust review just got way more hostile.
- The options tape confirms the panic: traders dumped $109M of near-dated puts at the $350-$370 strikes at 2-8x normal open interest. That's not hedging — that's positioning for more downside into month-end.

WHY IT MATTERS

This selloff isn't about cars — it's about the AI story getting its wings clipped. Musk has been selling TSLA to investors as an AI/robotics company (which is why it trades at 140x earnings instead of 15x like a normal automaker), and the xAI merger was supposed to be the catalyst that made that official. A Democratic sweep means the FTC under a Khan-style enforcer will almost certainly challenge related-party deals between Musk entities, which puts the entire AI-premium valuation at risk. Bigger picture: the $7,500 EV tax credit and IRA battery manufacturing subsidies are now SAFER (Dems protect them), but Tesla is the mature EV player — those credits help competitors catch up more than they help Tesla, so it's a net wash.

POLICY & POLITICAL WATCH

The immediate watch item is FTC/DOJ guidance on the xAI merger — expect formal second-request subpoenas within 60 days, which would signal a real fight. Separately, the Dem sweep likely means the EV tax credit (currently $7,500/vehicle) stays intact through 2032, but Congress may also revisit CAFE fuel economy standards and self-driving regulation — NHTSA under Dem leadership has been openly skeptical of FSD safety data, and a tougher autonomy framework would directly hit the robotaxi timeline. Also watch China tariff posture: if Dems maintain Trump-era tariffs on Chinese EVs, Tesla's Shanghai export business keeps its edge in Europe.

IS IT EXPENSIVE?

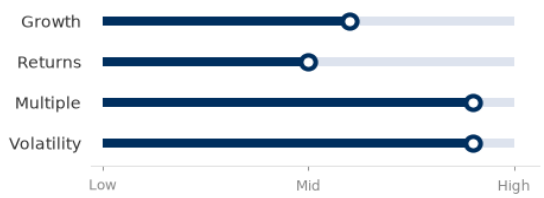
Even after today's puke, you're paying about $140 for every $1 of earnings Tesla will make next year — Ford trades at $8 and even Nvidia trades around $35. That premium only makes sense if you believe robotaxi and Optimus deliver on schedule, and today's news just pushed both of those further out. At $1.35T market cap, Tesla is still priced like the AI story is intact — if the merger actually dies, there's another 20-30% of air to come out.

WHAT COULD GO WRONG

Key Data

Price (USD)	**$342.32**
12M Price Target	**$375.00**
Upside / (Downside)	**+9.5%**
Market Cap	**$1.35T**
FY2026E Revenue	**$112M**
FY2027E Revenue	**$138M**
FY2026E EPS	**$2.45**
FY2027E EPS	**$3.60**
Fwd P/E	**139.7x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$390.00**	$345.00	**$300.00**
6 Months	**$450.00**	$370.00	**$280.00**
1 Year	**$520.00**	$375.00	**$260.00**
2 Years	**$650.00**	$420.00	**$230.00**
5 Years	**$900.00**	$550.00	**$200.00**
10 Years	**$1400.00**	$750.00	**$180.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples and Comm Services holding up best — classic defensive rotation when traders get spooked by a political regime change.

COOLING OFF: Energy down nearly 9% on the week — a Dem sweep means renewables friendlier, oil/gas permitting tougher. Healthcare also soft on drug pricing fears.

ROTATION WATCH: Money is fleeing "Musk-adjacent" AI/mega-cap tech and hiding in defensives. The tell is that this isn't a broad market crash — it's specifically a political-risk repricing of names with regulatory exposure.

RELATED PLAY: If the xAI merger dies, legacy EV makers like Ford and GM get a reprieve because Tesla's AI-driven competitive moat narrative weakens. Rivian (RIVN) could also benefit as the "pure EV play" without governance baggage.

WHO'S WINNING IN THIS SPACE?

- F (Ford): Legacy auto benefits if Tesla's AI premium compresses and the market refocuses on actual vehicle unit economics.
- TM (Toyota): Hybrid strategy looks smarter if Dem regulators slow autonomous rollout — Toyota's been the tortoise this whole race.

TSLA CONTEXT: Tesla is leading the sector DOWN hard today — that tells you this is idiosyncratic Musk/regulatory risk, not an auto industry problem. When a stock drops 11% while its peer group is flat, the market is sending a specific message about THIS company's story.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Not pounding the table either way. The selloff creates value IF the AI story survives, but there's real regulatory risk I can't handicap yet.

POSITION SIZE: 2-3% max. This is a volatile political football right now and headline risk is extreme — sizing small lets you add on further weakness without blowing up.

ENTRY POINTS: I'd wait for $300-$320 before adding. The 52-week low is $297 and we're only at 22% of the annual range — momentum is broken and these downdrafts usually overshoot.

TIME HORIZON: 12-24 months. You need to see robotaxi scale and merger resolution — neither happens in Q4.

WHEN TO BAIL: If the DOJ formally challenges the xAI merger, or if Q4 deliveries miss by more than 5%, I'm cutting. Also out if Musk announces another major distraction/side project.

HEDGING: Simplest hedge is just owning less of it. If you want protection on an existing position, buying $300 puts 3 months out costs you insurance money but caps your downside — think of it like paying for fire insurance on a house in a dry summer.

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